Welcome to BLAW 3100



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Welcome to Business Law 3100!

Lectures: Catherine Ryan

Course Material: http://www.bcit.ca/learn/

Labs:

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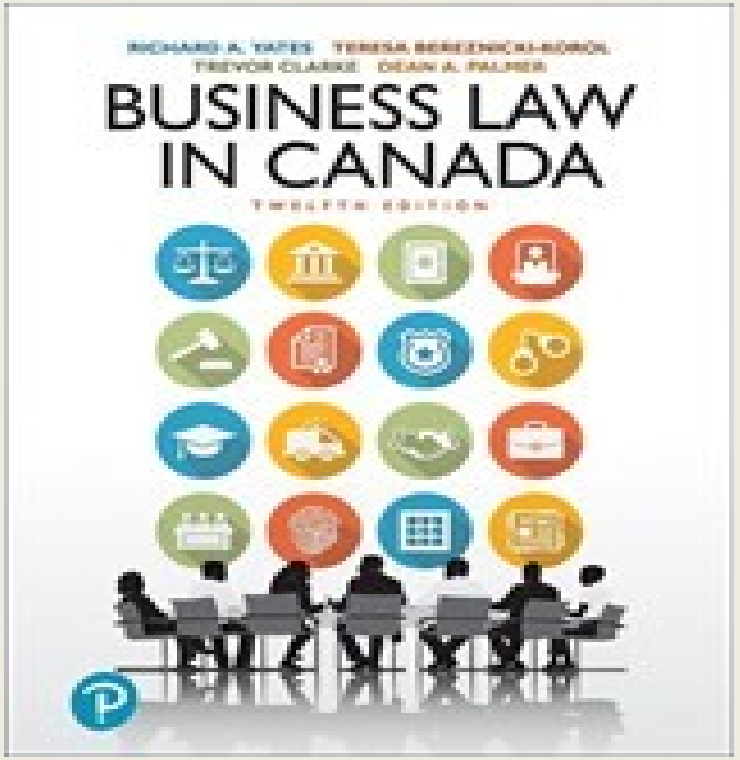
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If we contact you via D2L email, please reply to the emails above.

Textbook (Thirteenth or Twelfth Edition)





E-Textbook Information

You will choose **EITHER** option 1 **OR** option 2 below.

Option 1 (with digital learning tools, such as practice quizzes, flashcards):

Revel Business Law in Canada 13e Canada Version - Yates, Bereznicki-Korol, Clarke, Pearson

https://console.pearson.com/enrollment/mbhu3h

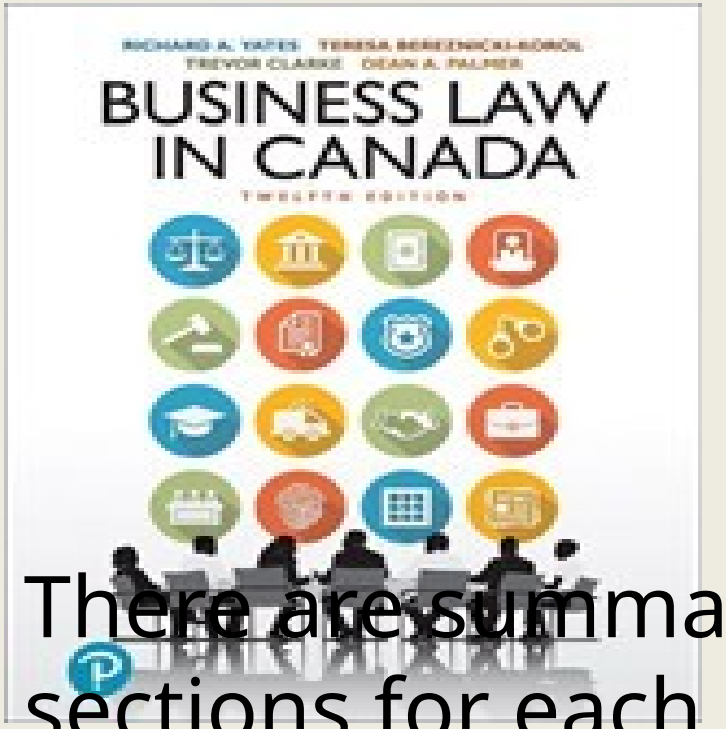
If you choose this option 1, **you are required to register at the link above**. You will then use Revel Application on your phone or computer to have access to the etextbook and to the digital learning tools, such as the practice intra- and end-of-chapter quizzes. These digital studying aid tools may help enhance your learning throughout the course. but in no way are required or a must-have to be successful in this course.

Option 2 (etextbook only):

Pearson eText for Business Law in Canada 13e Canadian Edition - Yates, Bereznicki-Korol, Clarke, Pearson

Available at BCIT Bookstore - https://www.bcit.ca/bookstore/

Textbook Tip!



There are summar
sections for each l
at the end of each
textbook chapter

My CV in a nutshell

- Burnaby Central High School, Science, Library Science and Law at UBC
- BC Supreme Court Law Clerk, research for 5 Judges, articled and practised Insurance Defense litigation at Harper, Grey Easton
- Ran the Library and taught legal research at Bull, Housser and Tupper
- Taught Legal Writing and Legal Research at UBC Law School for 5 years while working downtown
- Have taught here at BCIT since 1987 and was delighted to receive the Teaching Excellence Award in 2015 and again in 2024
- Very excited to have this class together!

Course Outline: Evaluation

Chapter Quizzes	25%	-Weekly chapter quizzes done in lab
Presentation	20%	Students in teams present a summary of a legal case to illustrate principles studied in the course.
Midterm Exam	25%	Midterm covers specified chapters and any other material covered in lectures and labs.
Final Exam	30%	Not cumulative. Only covers material after the midterm.
Total	100%	

Why Learn Business Law?



Why Learn Business Law?
To Avoid and Resolve Legal Disputes

To Avoid Legal Disputes

Take care when….

- Criticising a product
- Advising a client/customer
- Selling to a minor
- Reading and analyzing a contract
- Buying property

To Resolve Legal Disputes

Be aware of…

- The consequences of breaching a contract, infringing a copyright or trademark, making a false statement
- Risks of litigation
- Litigation procedures

Why don’t businesspeople hire lawyers whenever they have legal problems?

- lawyers are expensive
- so try to avoid legal problems in business
- and if you cannot, then know when problems exist-identify legal issues
- then decide if a lawyer is needed
- knowing business law helps us develop these skills

Business Law in Canada

Chapter 2
Introduction to the Legal System
(Part a)



Definition of Law

Law is the body of rules that can be enforced by the courts or government agencies

Categories of Law (1 of 2)

- Substantive Law
  - The rights and rules that govern behaviour and set limits on conduct
- Procedural Law
  - determines how substantive laws will be enforced

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Categories of Law (2 of 2)

- Public Law
  - Includes Constitutional Law and determines how the country is governed and regulates our relationship with government
- Private Law
  - Governs personal, social and business relationships

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Law is?



- Law is a set of enforceable rules
- Broken rules are “legal wrongs”
- A legal wrong is not necessarily a moral wrong

Morality is…



- Moral rules guide judgements about behaviour
- Broken rules are moral wrongs
- A moral wrong is not necessarily a legal wrong

But frequently they intersect : theft is both a moral and a legal wrong

Classifications of Law

Systems: Common-Law

Civil-Law

Wrongs: Criminal Wrongs

Civil Wrongs

Types of Civil Wrongs

Systems: Common-Law and Civil-Law

Common-Law System

- English Canada, England, Former British Colonies
- Based on court cases
- Follows precedent
- “stare decisis”



Civil-Law System

- Quebec, France, Germany, China, many other countries
- Based on Civil Codes
- Judges not bound by prior cases but may be influenced



"Civil Law" has two different meanings

- "Civil-Law System" – the legal system used in Quebec or France etc.

  that is different from the *Common-law* system of the rest of Canada

- "Civil Law"($$ money compensation for harm)

  that is different from "Criminal Law" (punishment and deterrence for crimes)

  both Civil and Criminal laws make our *Common Law*

Wrongs: Criminal and Civil

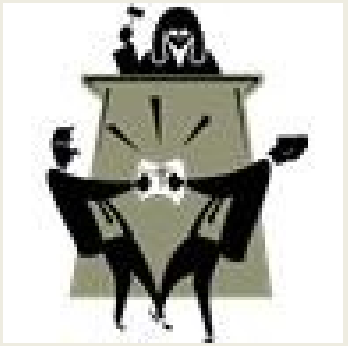
Criminal Wrong

- A wrong done by an individual against the state
- A crime – like murder
- Procedure: prosecution by Crown Prosecutor against Accused
- Purpose: to punish, deter, rehabilitate



Civil Wrong

- A wrong done by an individual against another individual
- A “cause of action” – like wrongful dismissal
- Procedure: lawsuit or legal action by plaintiff against defendant
- Purpose: to compensate for harm $$



Types of Civil Wrongs

- Tort – e.g. negligence, defamation, assault, trespass etc.
- Breach of contract
- Statutory wrong – e.g. breach Residential Tenancies Act etc.
- Equitable wrong – the catch-all – e.g. fraud etc.



Consequences of a Civil Wrong

- Creates a “cause of action”
  - that entitles the wronged individual (plaintiff)
  - to sue the bad guy (defendant)

- Court grants a Judgment
  - Plaintiff might win ($$)etc. or
  - Plaintiff might lose (0), so defendant wins

- Remedies: “Damages” ($ money compensation), injunction etc.

Legal History – Our Law Comes From…

- Ancient Rome
- Medieval Europe
- Medieval Church Law
- Traditional Commercial Law – “the Law Merchant” from the Guilds

Features of the Common Law





- King Henry II of England set up travelling courts to show his royal power
- These "common-law" courts followed local customs and, where there were gaps in the law, borrowed from *Roman Law*, *Church Law*, and the *Law Merchant ("medieval* international commercial law").
- The medieval civil wrongs were based largely on what we now know as *tort* and *contract.*
- There were no legal codes so judges followed decisions given in previous cases.
- ***Stare decisis*** or following precedent thus developed
- *Stare decisis* means to stand by what has already been decided
- Prior decisions are binding if they come from a higher court in the same jurisdiction and if the facts are similar.
- Lawyers argue by similarity "same facts" or by dissimilarity; they distinguish "different facts."

Following precedent (*Stare Decisis)*

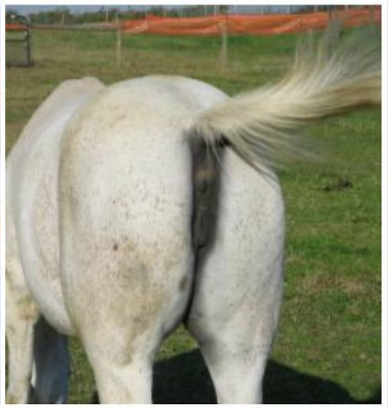
- Arguing by similarity
- What is the same?





- Arguing by dissimilarity
- What is different?
- Distinguish the facts





Example of “arguing by similarity”, versus “distinguishing” two cases on the facts

- Mom Tom he cannot play outside after dark. Tom is 11 years old and Tom is mad.
- Mom reminds him, “Your older brother Jack was not allowed to play outside after dark when he was 11. The world is a dangerous place, after dark.”

(Mom is *arguing by similarity*)

- Tom replies, “But I am four inches taller and ten pounds heavier than Jack was at 11 and I have a green belt in Taekwondo.”
- (Tom is *distinguishing facts*)



General Principles of Stare Decisis:

A decision of a court (first court) is binding on another court (the second court) when…

- The facts in both cases are similar enough to justify it.
- The first court is in the same jurisdiction (province) as the second court
- The first court is at a higher level than the second court e.g. a decision of the BC Court of Appeal binds the Supreme Court of BC
- The highest court is Supreme Court of Canada



- Q: Why wouldn't the Court of Appeal of Nova Scotia bind a lower court in B.C?



Why is the concept of *Stare Decisis* so critical to the smooth functioning of business and the economy?



- more predictable and thus more stable.

- You can know when to settle outside of going to court

- And make better business decisions and personal choices with better outcomes.
- But a system run on *stare decisis* has a disadvantage: it can sometimes be harsh and inflexible
- Which is why “Equity” evolved



Equity

- The common law evolved as an inflexible system, because it was based on precedent.
- People who suffered injustice, that was not characterized as a *breach of contract* or *tort*, could not get a remedy.
- So, in medieval times the Court of Equity or Chancery was set up to deal with other types of civil wrongs.
- To decide on the basis of “fairness” or “equity” rather than according to the strict rules of the common law
- In the 19th Century, the Courts of Equity and the Courts of Common Law were merged.
- So today in Canada the same courts decide issues of common law *and* equity and can give both $ damages and equitable remedies.

The Canadian Constitution

(Part b)

- The civil law system can be distinguished from the common law system by its use of a written body of rules known as the _____
- The doctrine of following precedent is known as _____
- A Supreme Court of Canada decision will not bind a lower court if parliament subsequently enacts a law that overturns that decision. T F
- A judge of the Alberta Court of Appeal is free to ignore a Manitoba trial court's decision. TF
- Arguing by similarity means trying to persuade a court that the case you are arguing about is based on facts similar to a previous case whose decision you agree with. TF
- Equity was a system of law that grew up in England to circumvent the rigidity of the common law. TF
- The four classifications of Civil Wrong are _____
- A tort can also be a criminal wrong. TF
- Equity was developed to circumvent the rigidity of the common law TF
- Law is enforced by Parliament TF
- Is the BC Court of Appeal bound by the decisions of the Supreme Court of Canada?
- Criminal law is designed to compensate the victims of crime. TF
- Libel is insulting your friend in a text message to him.TF
- A "cause of action" means facts that enable someone to start a legal action. TF
- The criminal law is designed to compensate victims injured by criminal acts. TF
- If someone writes lies about you on Facebook you could have a cause of action for _____?

One More Classification of Law: Public Law and Private Law

Public Law



- The rights and duties governing the individual's relations with the state
- e.g. criminal law, **constitutional law**, administrative law
- (legal, or potential legal, conflict between the state and the individual)

Private Law

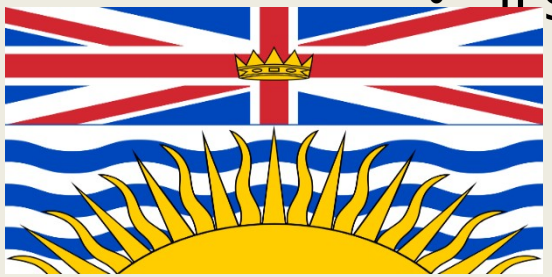
- The rights and duties governing an individual's relations with another individual:
- e.g. civil wrongs: tort, breach of contract
- (legal, or potential legal, conflict between two or more individuals)

What is Canadian Constitutional Law?

- The law for interpreting and applying Constitution of Canada.

- All laws of Canada, both provincial and federal, must conform to the Constitution.

- If a law is challenged as inconsistent with the Constitution, the courts can declare that law is of no force or effect
  - “strike it down”
  - “it’s unconstitutional”





What is a constitution?

- An organization's **constitution** defines its form, structure, activities, character, and *fundamental rules*
- In government, a law that trumps other laws
- A law to which other laws must conform
- A law entrenching certain legal rights
- A law that is very hard to change



A Hierarchy of Law

Constitution



Statute Law

(Laws passed by Parliament & Legislatures)



Judge-made law

(Common Law & Equity)

Hierarchy of Laws Explained

- Statute Laws (Legislation) (Acts)
  - both Federal and Provincial statutes
    - will over-ride common law and equity court decisions on the same issue.

- However, The Constitution trumps all.
- It is the "Supreme Law of Canada"
  - will over-ride Statute Laws, Acts etc. &
  - will over-ride common law and equity court decisions on the same issue.

The Canadian Constitution
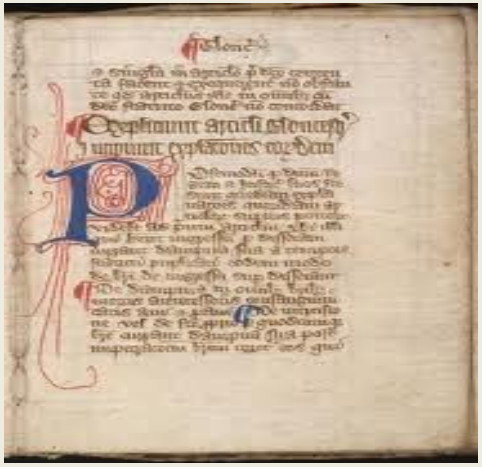
- Constitution Act, 1867
- Constitution Act (1982) which includes …

  The Canadian Charter of Rights and Freedoms



Conventions

- Canada inherited certain conventions or traditions from Britain which are written into the Constitution Act, 1867, which carries over into the Constitution Act, 1982
- Including:
  - Democratic parliamentary system
  - The Supremacy of Parliament
  - Rule of Law (although Parliament is supreme, government cannot act arbitrarily, must act in accordance with law; all are equal in the eyes of the law)
  - Principles (e.g. such as the rule of law) established in the *Magna Carta* and the *English Bill of Rights*



The Magna Carta of 1215 required King John of England to proclaim certain liberties, and accept that his will was not arbitrary,
for example by explicitly accepting that "no freeman (non-serf) could be punished except through the law of the land",
a right which is still in existence today.

Arguably, this is the very beginning of the Rule of Law.

The Rule of Law

- Not the “Divine Right of Kings” or “Rule by Law”
  - both of which place rulers above the law.
  - the Rule of Law makes all people, King and officials included, subject to the same laws.

  - A fundamental legal principle that provides that all decisions by officials or the government that affect peoples’ rights, are made by applying legal principles that are known/published, equally to all people.

- In a rule-of-law system:

-- all people are equal under the law

-- government cannot act arbitrarily (e.g. no arbitrary arrest)

-- government action and laws can be reviewed by the courts

-- government cannot make law without the people’s consent

-- people have the right to elect their government

-- there is a constitution,

which is the supreme law to which other laws must conform, as interpreted by the courts

The "**Rule of Law**" Principle is embodied in s. 7, 9 of the Charter of Rights and Freedoms



- "Protection of Legal Rights"

- **7.** Everyone has the right to life, liberty and security of the person and the right not to be deprived thereof except in accordance with the principles of fundamental justice.

- …
- **9.** Everyone has the right not to be arbitrarily detained or imprisoned
- …

Constitution Act (1867)

- Was the British North America Act, 1867 (BNA Act)
- Created the “Dominion of Canada”



- It divides Government into 3 branches: Executive, Legislative and Judicial
- Sections 91 and 92 divided powers to make laws between federal and provincial governments
- Why was the BNA Act hard to change?

Constitution Act (1867)

- S.91 allocates law-making powers to the Federal government



- for crime, banking, railways, currency, military……

- S. 92 allocates powers to the Provincial governments



- for health care, education, administration of justice….
- Federal government has P.O.G.G. – power to make laws for Peace, Order and Good Government…all areas not allocated.
- If a Federal & Provincial law are in clear conflict, the Federal law prevails

Constitution and Division of Powers

Table 2.1 Division of Legislative Powers

Federal—Section 91	**Provincial—Section 92**
Trade and commerce	Municipal institutions
Employment insurance	Hospitals (and health care)
Raising monies by any mode of taxation	Direct taxation within the province
Criminal law (although not its enforcement)	Administration of justice within the province
Banking, currency, postal service	Property and civil rights
Indians, and Lands reserved for the Indians.	Management and sale of public lands
Residual power under the “POGG” clause	Generally, matters of a local or private nature

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Paramountcy

- Powers of the federal and provincial governments can overlap considerably
  - If overlap is incidental, both laws are valid and operative
- Where laws truly conflict paramountcy may require that the federal legislation be operative and the provincial legislation no longer apply

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Constitution and Division of Powers

- "Peace, Order and Good Government" (POGG) clause
  - Federal government has residual power to make law on things not included in *Constitution Act*
- Divides law making power among three branches of government:
  1. **legislative branch** which creates legislation or statute law
  2. **judicial branch** which interprets legislation and makes case law
  3. **Executive branch** which implements the law

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Sources of Law in Canada

Sources of Law in Canada

Branch of Government	Legislative	Executive	Judicial
Who fills these positions?	Federally: Parliament	Prime minister and cabinet ministers together with each department's civil servants/ bureaucrats	Judges appointed by the various provinces and federally appointed justices
	Provincially: Legislative Assemblies	Premier and the cabinet together with each department's civil servants/bureaucrats	
Type of law made	Statute law (legislation)	Subordinate legislation • regulations made by order-in-council or as authorized by legislation • bylaws made by municipal governments	Case law

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Indigenous Rights and Self-Government

- First Nation, Inuit, and Métis peoples see their right to self-determination and self-government as an inherent right
  - pre-existing right rooted in occupation and government before European settlement
- *Royal Proclamation of 1763*
  - established the relationship between the Crown and First Nation communities as nation-to-nation
- UN Declaration on Rights of Indigenous Peoples (UNDRIP)

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Indigenous Rights and Self-Government

- Businesses must respect Indigenous rights and title
  - Failure to consult Indigenous peoples may be costly
- Section 35 of the *Constitution Act, 1982* recognizes and affirms existing Indigenous and treaty rights

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Constitution Act (1982)

- Lists the statutes that have “constitutional status”

- Ends ties with British Government
- Charter of Rights and Freedoms



- Establishes amending formula for constitutional change that is complex and therefore hard to make happen

  the approval of the Senate and House of Commons
  and of the legislative assemblies of at least
  two thirds of the provinces
  with at least 50% of the population of all provinces.



Charter of Rights and Freedoms

- Entrenches individual rights *(see amending formula)*
- Protects individuals from infringement on their rights by governments or their agents or agencies acting in a governmental capacity
- Empowers people to argue in court that legislation is contrary to the Charter
- Trumps the principle of Parliamentary supremacy



Charter Guaranteed Fundamental Freedoms in Section 2

- theoretically applying to everyone in Canada,
  - regardless of whether they are a Canadian citizen, or an individual or corporation.

- These freedoms can be held against actions of
  - all levels of government and are enforceable by the courts.

- 2. Everyone has the following fundamental freedoms:
- (a) freedom of conscience and religion;
- (b) freedom of thought, belief, opinion and expression, including freedom of the press and other media of communication;
- (c) freedom of peaceful assembly; and
- (d) freedom of association.

Fundamental Rights

- Democratic Rights [s.3-5] (s.33 cannot abrogate)
- Mobility Rights[s.6](s.33 cannot abrogate)
- Legal Rights[s.7-14]
- Equality Rights [s.15]
- Language Rights[s.16-23]



Charter of Rights and Freedoms
Limitations

- Section 1 – can interfere with a right if it can be justified in a free and democratic society

- Section 33 - legislatures can pass Acts that infringe on rights "notwithstanding" the Charter but legislation must be reviewed every 5 years

- Only applies – to governments and their agents and to legislation passed by governments….

Ss. 24 and 52 – Enforcement of Guaranteed Rights and Freedoms

Section 24 allows parties to bring forward a claim to the courts when they feel their rights are being violated,

and

s. 52 states that the Constitution of Canada is the supreme law of the land, meaning that “any law that is inconsistent with the provisions of the Constitution is, to the extent of the inconsistency, of no force or effect

Human Rights Legislation

- Traditionally common law cases and custom protected human rights and individual freedoms
- Legislation now protects individuals against human rights violations in social and private relationships
- Canadian Bill of Rights attempted to protect individuals from abuses by government but, ultimately, could not.

Human Rights Legislation

Federal	Provincial
Canadian Human Rights Act	BC Human Rights Code

- protect private relationships
- Use when problems exist between individuals and corporations
- Must comply with Charter
- Tribunals, like the Human Right Tribunal hear complaints
- Courts may get involved in judicial review of Tribunal decision making process – if natural justice not followed.

Human Rights Legislation & the Charter

- If an injured party's human rights have been breached by another, (e.g. his employer) he can complain under human rights legislation.
- If, however, an injured party's rights have been breached by the operation of *legislation*, he can bring legal action and ask the court to declare that legislation contrary to the Charter or that the government action is invalid.
- Under s.11 of the Charter people also have certain protected legal rights in relation to criminal charges brought against them

e.g. to be informed of the charge and right to a trial without unreasonable delay

e.g. not to be a witness against oneself

e.g. to be presumed innocent until proven guilty

e.g. once acquitted or convicted not to be tried again for the same crime (double jeopardy)

Charter Section11 Rights When Charged With a Criminal Offence

- Under s.11 of the Charter people have certain protected legal rights if criminal charges are brought against them

- Right to be informed of the offence charged

- Right to a trial within a reasonable time

- Right not to be a witness against oneself

- Right to be presumed innocent until proven guilty

- Right not to be denied reasonable bail

- Right to a trial by jury if the penalty is 5 years jail or worse

- Right not to be tried again
  - once acquitted or convicted the right not to be tried again for the same crime.
    - No “double jeopardy”